

ORIGINAL

BEFORE THE
FEDERAL MARITIME COMMISSION

FILED

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PETITION NO. P 2-18

Federal Maritime Commission
Office of the Secretary

cc:
OGL
Comm/CS
OS
BTA

PETITION OF ORIENT OVERSEAS CONTAINER LINE LIMITED AND
OOCL (EUROPE) LIMITED FOR AN EXEMPTION FROM 46 U.S.C. § 40703

Pursuant to 46 U.S.C. § 40103(a) and 46 C.F.R. § 502.94, Orient Overseas Container Line Limited and OOCL (Europe) Limited (collectively trading as "OOCL") petition the Federal Maritime Commission ("FMC") for an exemption from 46 U.S.C. § 40703 so that they may reduce their tariff rates effective upon publication. The FMC is permitted to administratively exempt companies from the requirements of the Shipping Act of 1984, as amended (the "Act"), if it finds that the exemption will not result in a substantial reduction in competition or be detrimental to commerce. For the reasons set forth below, we respectfully request that an administrative exemption be granted to the OOCL entities because such an exemption would neither reduce competition nor be detrimental to commerce.

1. Factual Background

Orient Overseas Container Line Limited is a Hong Kong corporation with its head office located in Hong Kong and OOCL (Europe) Limited is an England and Wales corporation with its head office located in England. OOCL operates as an ocean common carrier in numerous trades between ports in the United States and ports in other countries. Orient Overseas Container Line Limited and OOCL (Europe) Limited are organized as separate legal entities for corporate reasons unrelated to the issues in this Petition. These two entities combine to provide service under the OOCL trade name. Both entities are 100% subsidiaries of Orient Overseas (International) Limited, which is ultimately controlled by COSCO SHIPPING Holdings Co., Ltd. On August 16, 2018, the FMC informed the OOCL entities that they meet the criteria for classification as controlled carriers within the meaning of 46 U.S.C. § 40102(8) and 46 C.F.R. § 565.2(a).

2. Applicable Legal Standards

46 U.S.C. § 40703 regulates the rates charged by controlled carriers. It states that "except for service contracts, a rate, charge, classification, rule or regulation of a controlled carrier may not become effective, without special permission of the Federal Maritime Commission, until the 30th day after publication." As a result, controlled carriers are required to wait thirty (30) days before they can decrease their tariff rates. Non-controlled carriers, however, are permitted to reduce tariff rates effective upon publication of the rates.

Under 46 U.S.C. § 40103(a), the FMC may grant administrative exemptions from the requirements of the Act “if the Commission finds that the exemption will not result in substantial reduction in competition or be detrimental to commerce.”¹

3. Granting an Exemption to OOCL Would be Pro-Competitive and Beneficial to Commerce

The OOCL entities are requesting an exemption from the requirement that it provide 30 days’ notice of a reduction in its tariff rates. Although a significant portion of OOCL’s cargo moves subject to service contracts, a portion is nonetheless subject to tariff rates.

Granting OOCL an exemption from the notice requirement for its tariff rates would neither reduce competition nor be detrimental to commerce. If OOCL had the ability to reduce its tariff rates upon publication, rather than wait 30 days, it would actually increase competition. The exemption would permit OOCL to react quickly to market conditions and be more competitive with other non-controlled carriers. In this day and age, rate discussions move very quickly, and the ability to react rapidly is essential to competing for an importer’s or exporter’s business. If the OOCL entities have to wait 30 days for agreed rates to become effective, they would be effectively prevented from competing for a measurable portion of the market. While most cargo moves by service contract, for a variety of reasons, some cargo continues to move under tariffs. In addition, surcharges, extra charges, and rules tend to be published in governing tariffs. Accordingly, if the OOCL entities could reduce tariff rates and charges and amend rules on immediate notice, they could compete more effectively in those areas.

Additionally, granting an exemption would benefit commerce. Allowing an additional carrier to compete effectively in the market would give customers more choices among carrier options and would thus promote the flow of commerce. The FMC has repeatedly found that exempting controlled carriers from the 30 day requirement is pro-competitive and beneficial to commerce. In Docket No. P3-15, the FMC reached such a conclusion with regard to the petition of OOCL’s now-affiliate, COSCO Container Lines Europe GmbH (“COSCON Europe”),² concluding:

¹ For example, see Docket No. P5-04, *Petition of American President Lines, Ltd. and APL Co. PTE. Ltd. for a Full Exemption from the First Sentence of Section 9(c) of the Shipping Act of 1984, as Amended*, 30 S.R.R.517 (F.M.C., Sept. 23, 2004); Docket No. P6-04, *Petition of China Shipping Container Lines (Hong Kong) Co., Ltd., for an Exemption from the First Sentence of Section 9(c) of the Shipping Act*, 30 S.R.R. 645 (F.M.C., Nov. 15, 2004); Docket No. P1-10, *Petition of Hainan P.O. Shipping Co., Ltd. for an Exemption from the First Sentence of Section 9(c) of the Shipping Act of 1984, as Amended*, 31 S.R.R. 1659 (F.M.C., July 26, 2010); Docket No. P1-14, *Petition of United Arab Shipping Company (S.A.G.) for an Exemption from 46 U.S.C. § 40703* (F.M.C., July 17, 2015); and Docket No. P3-15, *Petition of COSCO Container Lines Europe GmbH for an Exemption from 46 U.S.C. § 40703* (F.M.C., Nov. 9, 2015).

² Orient Overseas Container Line Limited, OOCL (Europe) Limited, and COSCON Europe are both ultimately controlled by COSCO SHIPPING Holdings Co., Ltd.

Rather than reduce competition, the exemption promotes it by allowing COSCON Europe to compete for cargo by reducing its tariff rates. Oftentimes, cargo is time sensitive, so the ability to reduce tariff rates in a timely fashion is a necessity for a carrier. In addition, the exemption would have the effect of promoting commerce, rather than being detrimental to commerce, as it provide shippers the opportunity to have a larger pool of carriers competing for their business. Docket No. P3-15, *Petition of COSCO Container Lines Europe GmbH for an Exemption from 46 U.S.C. § 40703* at 4 (F.M.C., Nov. 9, 2015).

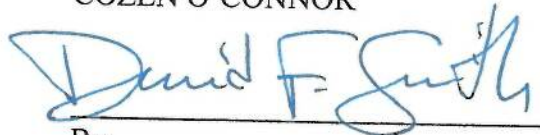
The same reasoning applies to this petition as applied to COSCON Europe's petition. The OOCL entities are currently indistinguishable from COSCON Europe for the purposes of an exemption from the requirements of 46 U.S.C. § 40703. The OOCL entities are now controlled by the same parent company as COSCON Europe, so the same rationale applies to the OOCL entities.

4. Conclusion

For the reasons discussed above, Orient Overseas Container Line Limited and OOCL (Europe) Limited respectfully request they be granted exemptions that would permit them to reduce their tariff rates effective upon publication because such an exemption will neither reduce competition nor be detrimental to commerce.

Respectfully submitted,

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